National
Qualifications
2022

X810/76/11

Business Management

WEDNESDAY, 18 MAY
9:00 AM – 11:45 AM

Total marks — 90

SECTION 1 — 30 marks

Attempt ALL questions.

SECTION 2 — 60 marks

Attempt ALL questions.

You may use a calculator.

It is recommended that you spend 15 minutes reading over the information provided in **SECTION 1** before responding to the questions.

Write your answers clearly in the answer booklet provided. In the answer booklet you must clearly identify the question number you are attempting.

Use **blue** or **black** ink.

Before leaving the examination room you must give your answer booklet to the Invigilator; if you do not, you may lose all the marks for this paper.

SQA ©

SECTION 1 — 30 marks

Read ALL the following information and attempt ALL the questions that follow.

Police Scotland

Police Scotland is the national police force of Scotland, with its headquarters located in Tulliallan Castle, Fife. It is the second-largest police force in the United Kingdom, in terms of officer numbers, and the largest territorial police force in terms of its geographic area of responsibility.

Formation

In 2011 the Scottish Government decided to create a single police service in Scotland by merging the existing 8 regional police forces. Establishing a single service aims to ensure more equal access to national and specialist policing services and expertise.

The Scottish Government aims to ensure there is sufficient policing in communities by creating designated local senior officers for every council area, with a duty to work with councils to improve the provision of local services.

The Force Executive

Strategy, policy and direction for Police Scotland is determined by the senior management team.

The Chief Constable has overall responsibility for the administration and management of police operations and is supported by the chief police officers and selected senior members of police staff. Individually they bring a wide range of professional expertise to strategy and policy-making, while collectively they set the agenda that inspires and drives the police service.

Police Scotland's management hierarchy

The ranks of police officers are as follows (starting with the highest ranking):

1. Chief Constable
2. Deputy Chief Constable
3. Assistant Chief Constable
4. Chief Superintendent
5. Superintendent
6. Chief Inspector
7. Inspector
8. Sergeant
9. Constable.

(Exhibit 1 shows a summary of Police Scotland's selection process.)

(Exhibit 2 shows extracts of Police Scotland's Human Resource Management Expenditure.)

The Scottish Economy

Scotland recently experienced unusual circumstances due to Brexit and the global coronavirus pandemic (COVID19). To ensure communities are effectively policed and lockdown restrictions adhered to, the Scottish Government announced that there is an increasing requirement to recruit more officers. The Scottish Government intends to increase the force's funding to more than £1.3 billion. The increase in budget will be partly invested into advancing communication technology and supporting the force's climate strategy in order to comply with the Scottish Government's aim to phase out petrol and diesel vehicles by 2030.

Police Scotland in the news

The activities of the police are often in the news, extracts below show a selection of recent news articles and headlines.



Social Media Network

Police Scotland has several social media accounts to ensure citizens can find out about policing in their local area. As well as its national Police Scotland account on Facebook, there are 8 regional Police Scotland Facebook pages. On Twitter, it has the national Police Scotland account, 14 regional feeds and 72 local feeds. All of the social media accounts work together to bring updates to citizens on policing across Scotland. However, social media channels cannot be used for reporting crime.

(Exhibit 3 shows an extract of Police Scotland's social media network marketing.)

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Exhibit 1

A summary of Police Scotland's selection process

Police Scotland's selection process is a combination of methods that enable it to assess a candidate's overall suitability. Before starting the application form, candidates are required to check that they meet the minimum essential criteria as detailed in the job description and person specification for the role.

Police Scotland is committed to making its selection process and facilities as accessible as possible for all applicants and employees.

The process is broken down into the following stages:

1. Application Form

The application form should be fully completed, well presented and concise. Candidates should expect to be asked questions on their application form's responses later in the selection process.

2. Standard Entrance Test (SET)

The test is made up of 3 question papers assessing different skills: literacy, numeracy and information handling. Candidates must pass each test to proceed to the next stage.

3. Interview

Candidates are invited to an interview with members of the local recruiting team and a divisional officer.

4. Vetting

A wide range of police systems are checked to highlight any convictions, warnings or other adverse information which may be held about the candidate. This is taken into account during the selection process.

5. Fitness and Medical Assessment

Being a police officer is both physically and mentally challenging. The fitness assessment measures a candidate's cardiovascular health. Candidates who are successful in the fitness test will also be required to attend a medical appointment with a qualified doctor.

6. Assessment Centre

Finally, candidates attend an assessment centre for a day, where they take part in a range of practical exercises, such as communication, team working, problem solving and leadership.

Exhibit 2

Police Scotland's Human Resource Management Expenditure

Extract of Police Scotland's Expenditure Budget 2019

The table below is an extract from Police Scotland's financial performance, comparing actual to budgeted policing and support staff expenditure.

	Budget ***£ m***	**Actual** ***£ m***	**Difference** ***£ m***
Police Officer Costs	786.6	803.8	(17.2)
Police Support Staff Costs	177.0	178.7	(1.7)
Gross Expenditure	**963.6**	**982.5**	**(18.9)**

Extract of Police Scotland's Forecasted Expenditure Budget

The table below is an extract from Police Scotland's draft 3-year financial strategy showing policing and support staff expenditure.

	Year 1 ***£ m***	**Year 2** ***£ m***	**Year 3** ***£ m***
Police Officer Costs	786.6	802.6	820.6
Police Support Staff Costs	177.0	185.3	194.9
Gross Expenditure	**963.6**	**987.9**	**1015.5**

Additional statistical information

Full-time Officers	17,241
Civilian volunteers	939
Police support staff	5,600
Divisions	13

Police Stations	214
Vehicles	3,800
Helicopters	2
Annual budget	£1.138 billion

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Exhibit 3

Extract of Police Scotland's social media network marketing





MARKS

The following questions are based on ALL the information provided and on knowledge and understanding you have gained whilst studying the course.

1. (a) (i) Compare Police Scotland's **ownership** and **control** with a public limited company (plc). **2**

(ii) Describe an objective for each of the following functional areas of Police Scotland:

- Human Resources
- Finance
- Marketing. **3**

(b) (i) Describe the role of the Chief Constable in the management of Police Scotland. **3**

(ii) Explain **one** cost and **one** benefit of Police Scotland operating a tall organisational structure. **2**

(c) Explain the impact on Police Scotland of the external factors in the case study. **4**

(d) (i) Discuss the advantages and disadvantages of the methods Police Scotland uses to select suitable candidates, as shown in **Exhibit 1**. **6**

(ii) Describe the ways Police Scotland could ensure that its recruitment and selection process complies with current legislation. **2**

(e) (i) Explain the reasons for Police Scotland preparing budgets as shown in **Exhibit 2**. **2**

(ii) Describe the impact of Police Scotland's forecasted increasing expenditure, as shown in **Exhibit 2**. **2**

(f) Discuss the costs and benefits to Police Scotland of marketing through its social media network. **4**

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MARKS

SECTION 2 — 60 marks

Attempt ALL questions

2. (a) Discuss the use of a just-in-time (JIT) system for inventory management. **5**

(b) Justify the use of each of the following quality measures in the production process:

- Quality control
- Quality assurance
- Benchmarking. **3**

(c) Describe the factors to be considered when deciding on a method of production. **4**

(d) Describe the advantages and disadvantages of using computer-aided design (CAD). **3**

3. (a) Compare field research with desk research. **3**

(b) Describe the costs and benefits to an organisation of having a varied product portfolio. **5**

(c) Compare penetration pricing with skimming pricing. **3**

(d) Describe the ways a manager can assess the effectiveness of decisions. **4**

4. (a) Describe the sources of finance that a public limited company (plc) may use to expand. **3**

(b) Describe 4 pieces of financial information contained in an Income Statement. **4**

(c) Explain the effects of outsourcing on an organisation. **5**

(d) Discuss costs and benefits of Fairtrade. **3**

MARKS

Questions (continued)

5. (a) Describe the 4 sectors of industry. **4**

(b) Discuss the advantages and disadvantages of using appraisal in the staff development process. **5**

(c) Explain the benefits of the following employee participation processes in improving employee relations:

- Worker directors
- Works councils/consultative committees
- Quality circles. **3**

(d) Describe the importance of workforce planning for an organisation. **3**

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